

VANGUARD SECURITY AND FRAUD PREVENTION POLICY
Investor Protection and Anti-Fraud Controls

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1. PURPOSE

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This policy describes the security and fraud-prevention measures Vanguard uses to protect customer accounts and outline

For mobile-app-specific security details, see VG-OP-016.

For wire-transfer-specific fraud controls, see VG-OP-005.

For trusted-contact and POA controls relevant to senior-investor protection, see VG-OP-013.

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2. THREAT LANDSCAPE

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Vanguard regularly observes the following fraud and abuse patterns:

2.1 ACCOUNT TAKEOVER (ATO)

The threat actor obtains login credentials (via phishing, credential stuffing, malware, or SIM swap) and impersonates

2.2 IMPOSTER SCAMS

Fraudster impersonates Vanguard, the IRS, the SSA, a tech support representative, or a romantic acquaintance to convin

2.3 ELDER FINANCIAL EXPLOITATION

Family members, caregivers, or strangers exploit relationships with older or cognitively impaired investors. See FINR

2.4 INVESTMENT SCAMS

Fraudsters convince victims to invest in fictitious or manipulated investments, often via "pig butchering" patterns -

2.5 INHERITANCE / ESTATE FRAUD

Forged death certificates, fake POAs, and unauthorized beneficiary changes are sometimes used to drain accounts of re

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3. ACCOUNT-LEVEL CONTROLS

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3.1 AUTHENTICATION

Multi-factor authentication is required at:

- Login from new device or location
- Password change
- Wire transfer initiation (any amount)
- ACH outgoing over \$25,000
- Beneficiary changes
- Trusted-contact changes
- POA submission

Supported MFA factors (see VG-OP-016):

- Authenticator app (TOTP)
- Hardware security key (FIDO2/WebAuthn)
- SMS one-time code (less secure due to SIM-swap risk)
- Voice call one-time code
- Biometric (mobile app)

3.2 SESSION CONTROLS

- Idle session timeout: 15 minutes
- Forced re-authentication after 60 minutes
- Concurrent-session limit: 3
- Geographic anomaly detection: triggers MFA on logins from unusual locations

3.3 PASSWORD POLICY

- Minimum 12 characters; 16+ recommended
- Cannot include username or full name
- Cannot reuse the last 5 passwords
- Forced rotation: NOT required (consistent with current NIST guidance) unless compromise suspected
- Password manager integration supported

4. TRANSACTION-MONITORING RULES

Vanguard's fraud detection engine flags transactions that match risk patterns. Examples (non-exhaustive):

PATTERN	DEFAULT RESPONSE
First-time wire to a new beneficiary > \$50K	Manual review + callback
ACH withdrawal > \$50K within 7 days of ATO indicators	Hold + manual review
Beneficiary change followed by withdrawal request within 30 days	Hold + customer outreach
Elderly account holder + new POA + large withdrawal in 60 days	Hold + Trusted Contact contact
Multiple failed login attempts from new geography	Account lock
Login from anonymous proxy/VPN at unusual hour	MFA required + soft alert
Linked bank account name mismatch	ACH rejected
Sudden increase in trade frequency or size	Soft alert; possible account review

The system rolls up signals across categories; high-aggregate-score transactions may be held even if no single rule f

5. WIRE FRAUD CONTROLS

For all outgoing wires of \$50,000 or more, Vanguard requires verbal callback confirmation:

1. Request submitted online or by phone
2. Within 1 hour, a Vanguard agent calls the registered phone on file
3. Agent verifies identity and confirms wire details (amount, recipient bank, recipient name, account number, purpose)
4. Wire is released only after verbal confirmation

If callback cannot be completed within 24 hours, the wire request is canceled and must be resubmitted.

Wires to international destinations receive enhanced scrutiny:

- Sanctioned-country screening (OFAC)
- Higher-risk jurisdictions trigger additional documentation requests
- Crypto-related wires (to known crypto exchanges) trigger explicit warning script

For full wire-transfer policy, see VG-OP-005.

6. SCAM RED FLAGS

Vanguard educates investors that legitimate financial institutions, government agencies, and tech companies will NEVER

- Demand immediate payment via gift cards, wire transfer, or cryptocurrency
- Ask you to read aloud an MFA code
- Ask you to install remote-access software (TeamViewer, AnyDesk, LogMeIn)
- Threaten arrest or deportation if payment is not made
- Require secrecy from family members

- Send you a check and ask you to wire some of it back
- Ask for full passwords or full SSN unprompted
- Pressure you to make a financial decision the same day

Vanguard's fraud prevention team will engage in conversation but will never use pressure tactics; if any caller does,

7. WHAT TO DO IF YOU SUSPECT FRAUD

7.1 IMMEDIATE STEPS

1. Stop transacting on the account
2. Call the Vanguard Fraud Hotline: 800-555-0166 (24/7)
3. Change your Vanguard password and revoke trusted devices
4. Run an antivirus scan if you suspect malware
5. Contact your bank if recent ACH or wire transfers may be involved

7.2 VANGUARD'S INVESTIGATION PROCESS

- Account is placed on a security review hold within 1 hour of report
- Recent transactions are reviewed for anomalies
- Login session and IP history are analyzed
- If unauthorized transactions are identified, Vanguard reverses or recovers funds where possible
- Police report and FinCEN filing are made for confirmed fraud
- Customer is notified of findings and credited per the Customer Protection Guarantee (Section 9)

7.3 RECOVERY TIMEFRAMES

- Unauthorized ACH: typically 1-5 business days for reversal
- Unauthorized wire: 5-30 days; recovery not guaranteed
- Unauthorized trades: typically reversed same day if reported within 24 hours

8. IDENTITY VERIFICATION FOR HIGH-RISK ACTIONS

The following actions trigger enhanced identity verification (knowledge-based questions, document upload, and possibly

- Address change combined with withdrawal request within 60 days
- Email or phone change combined with subsequent transaction
- POA submission for a senior account
- Beneficiary change initiated by someone other than the account owner
- Reset of MFA device

Vanguard may decline to act on a request that fails enhanced verification, even if all paperwork appears in order.

9. CUSTOMER PROTECTION GUARANTEE

Vanguard reimburses for unauthorized transactions in your Vanguard account, provided you:

1. Took reasonable steps to safeguard credentials (no sharing passwords, MFA codes)
2. Notified Vanguard promptly upon discovering the unauthorized activity
3. Cooperated with the investigation (police reports, FinCEN forms as applicable)

The guarantee does NOT cover:

- Losses from authorized transactions induced by scam (e.g., you wired funds to a fraudster yourself)
- Investment losses from market movement
- Losses where the customer materially contributed by ignoring known security warnings

10. INFORMATION SECURITY PRACTICES

10.1 ENCRYPTION

- Data in transit: TLS 1.3
- Data at rest: AES-256
- Authentication credentials: bcrypt hashing with adaptive cost factors

10.2 INFRASTRUCTURE

- Vanguard maintains SOC 2 Type II certification
- Annual penetration testing by external firms
- 24/7 Security Operations Center

10.3 EMPLOYEE CONTROLS

- Background checks for all employees
- Annual security awareness training
- Privileged access controls (just-in-time elevation, audit logging)
- Internal fraud-detection rules covering employee-account abuse

10.4 VENDOR AND THIRD-PARTY OVERSIGHT

- Vendor security assessments before onboarding
- Continuous monitoring of vendor breach disclosures
- Right-to-audit clauses in vendor contracts handling sensitive data

11. PRIVACY

Vanguard's Privacy Notice is published at investor.vanguard.com/privacy. Highlights:

- Vanguard does not sell customer information
- Information is shared with affiliates and service providers as needed for account servicing
- Customers may opt out of certain marketing uses
- California, Virginia, Colorado, Connecticut, and Utah residents have additional privacy rights under state law

12. RELATED DOCUMENTS

- VG-OP-002 - Beneficiary Designation Policy (decendent and beneficiary fraud)
- VG-OP-005 - Wire Transfer and ACH Policies (wire callback)
- VG-OP-013 - Trusted Contact and POA Policy (FINRA Rule 2165 holds)
- VG-OP-014 - Inactive Account Policy
- VG-OP-016 - Mobile App and Online Security FAQ

13. CONTACT

Fraud Hotline (24/7): 800-555-0166
General Customer Service: 800-555-0199
Senior Investor Protection: 800-555-0199 (extension routed to specialists)
Web: investor.vanguard.com -> Profile -> Security

Mailing for Security/Fraud Reports:

The Vanguard Group
Attn: Fraud Operations
PO Box 982901
Valley Forge, PA 19482